



Personal Finance Management

25 key theory topics

Theory Q: Sources of client information

- it is rare for a real client to have all the information ready.
- Following table lists some information sources that a Financial Planner can ask to see

Asset or Liability	Can be found in...
Cash/cash equivalent	Bank records, checkbooks, statements, tax records
Various investments	Investment portfolio statements, real estate sales records, tax records
Vested pension benefits	Pension annual statements
Homes	Mortgage statements, tax records, real estate records, public real estate valuation records
Cars, boats, and other similar assets	Online valuation tools, banks, credit company statements
Other use assets	Professional appraisers, insurance agencies, auction houses, retail or wholesale outlets
Credit accounts and other loans	Current and past statements, bank records
Mortgages	Banks and other lending agencies

Theory Q: Describe inflows and outflows

➤ **Inflows** include all the money an individual receives from all sources

1. **Inflow from work**, which is usually stable
 - Salaries and wages from employment
 - Income from self-employment
2. **Other inflows**, which can fluctuate
 - Interest and dividend income earned
 - Rental income
 - Tax refunds
 - Withdrawals from savings accounts
 - Proceeds from sale of personal assets
 - Income from grants, trusts, gifts, allowances, etc.

➤ **Outflows** (i.e. Expenses) are any funds going out from an individual

1. **Fixed expenses**, which remain the same over a given period
 - Loan payments, Insurance premiums
 - Utility bills, OTT bills etc
 - School fees, recurring healthcare etc
2. **Discretionary expenses**, also called **Variable expenses** *, which vary over time
 - Restaurants and entertainment
 - Gifts and charitable contributions
 - Holidays
 - Medical expenses (one offs) *
 - Shopping, parties etc

Theory Q: Describe Cashflow statement

- The cashflow statement helps us to understand the **net cash surplus (or deficit)**
- It can be for an individual or a family (i.e., sum of family members)
- It indicates whether a family is **living within their means** (i.e. cash positive)

Income



Expenses



Savings

Income examples

- Income from work
- Other incomes

Expense examples

- Fixed expenses
- Variable expenses

Net position

- **Has a surplus**
 - Living within means
- **Is losing money**
 - Not living within means

Theory Q: How does time impact a person's cash flow?

- **When life changes, money is in motion.**
 - Sometimes these changes are subtle and small. Other times, the changes can be substantial.
- **Examples of life transitions** that can affect a client's CF include
 - **Positive changes:**
 - Work income / salary increase,
 - Investment returns increase,
 - receives inheritance / gift
 - **Negative changes:**
 - Illness or major home repairs.
 - Job loss or other income reduction.
 - Excessive spending patterns or increase in credit purchases
 - Divorce, separation or death of a spouse or partner.
 - Gambling addiction or alcohol or substance abuse.



Theory Q: Describe Net worth statement

- A client's net worth is a snapshot of their overall financial health at a point in time.
- It is usually **updated** every monthly or quarter, and **value on that date** is take for calculation purposes

Assets



Liabilities



Net worth

What is **owned**

- Cash or items with saleable value,
 - Cash
 - Fixed deposits
 - Stocks owned
 - Assets (e.g. car, home etc)

What is **owed**

- Amounts which still have to be repaid, e.g.
 - Home loan outstanding
 - Car loan
 - Education loan
 - Credit card dues

= Financial health

- **Positive**
 - Assets > liabilities
 - Has money
- **Negative**
 - Liabilities > Assets
 - Owes money

Theory Q: What are the types of personal assets

➤ Assets are classified under three types

1. Liquid

- Cash or cash equivalents
 - Cash at home or in bank
 - Uncashed cheques
 - Cash equivalents * like
 - Bank certificates
 - Money market funds
 - Insurance policies

2. Invested

- Assets that the client intends to sell at some point, e.g.
 - Stocks, bonds
 - Commodities
 - Real estate
 - Paintings, jewellery etc**

3. Used

- Assets that the client is using, i.e. not intended for sale, e.g.
 - Own home
 - Car, boat
 - Paintings, jewellery**

* Some of these may have a small “liquidation” cost, but still treated as cash equivalents

** Invested and End-use assets classification depends on the client’s planned use of that asset, e.g.

- A client who collects paintings would not plan to sell them (= Used) whereas an investor who buys paintings (= Investment) would sell the paintings when the price is right
- A car may be classified as end-use for a few years and then moves to Invested when the owner wants to sell it

Theory Q: What are types of personal liabilities

- Liabilities are any outstanding amounts that the client owes
- These are classified as
 - Short-Term, if they need to be repaid within a year
 - E.g. personal loan from a bank, or an outstanding carried over on a credit card
 - Long-Term, if they are to be repaid over more than one year
 - Home loans, car loans etc
 - Here the total amount including any penalties and interest is taken as outstanding
- **Liabilities are different from expenses**, e.g.
 - Monthly EMI of Rs 10,000 to pay a car loan is an Expense
 - Remaining car loan outstanding of Rs 1,00,000 is a Liability

Theory Q: 5 key personal finance ratios

Liquidity ratio

- Liquid assets as a % of total assets
- Ideal is **15% of total assets**

Liquidity (Job cover)

- # of months that liquidity can support
- Ideal is **3 to 6 months of reserves**

Debt asset ratio

- Outstanding Debt as a % of total assets
- Ideal is **below 50%**

Debt service ratio

- Debt repayment as a % of income
- Ideal is **below 35%**. Anything **over 45% is a concern**

Savings ratio

- Savings as a % of income
- Ideal is **at least 10%**

Theory Q: Steps to create a budget

Identify target from the budgeting exercise, e.g. save 10,000 per month



Estimate Income and expenses from all sources and make a forecast



Record actual incomes and expenses over the period



Compare actual versus plan to see what is under or over the forecast



If 10,000 not saved, change line items basis actuals to ensure 10,000



Review each category of income and expense as a percentage of the total.

Theory Q: How can clients track their monthly budgets?

Approach 1: Maintain records

Expenses	Planned	Actual
House Maintenance	₹ 8,000.00	₹ 8,000.00
Education Bill	₹ 5,000.00	₹ 5,000.00
Housekeeper	₹ 2,000.00	₹ 2,500.00
Internet Bill	₹ 1,000.00	₹ 1,200.00
Insurance Premium	₹ 3,000.00	₹ 3,000.00
Loan Payment	₹ 7,000.00	₹ 7,000.00
Electricity Bill	₹ 4,500.00	₹ 6,500.00
Water Bill	₹ 1,000.00	₹ 800.00
Gas Bill	₹ 3,000.00	₹ 2,400.00
Phone Bill	₹ 700.00	₹ 1,400.00
Medicines	₹ 500.00	₹ 4,600.00
Others	₹ 3,000.00	₹ 12,000.00
Groceries	₹ 8,000.00	₹ 9,000.00
TOTAL	₹ 46,700.00	₹ 63,400.00

Approach 2: Envelope approach



Set aside money as per plan in different envelopes
Use this to pay each type of bill.
Record overruns on envelope if it runs out

Theory Q: Advantages & Disadvantages of Budgeting

Some **advantages** of budget:

1. Identifying **unnecessary expenses**
2. Identifying areas of **family conflict** over spending priorities
3. Providing an opportunity for families to **discuss spending priorities**
4. Increasing the **likelihood of achieving financial goals**

Some **disadvantages** of budget:

1. The process can be **laborious**.
2. Clients may **be embarrassed by some of their spending habits** and not keep accurate records.
3. People **often do not like the structured approach** of tracking inflows and outflows.

Theory Q: What are Conflicting Demands / SMART goals

- Conflicting demands are s where the client may **want to pursue multiple goals**, however, due to limited budgets **achieving all goals is unviable**
- In effect, the client needs to prioritize and select only a few goals to focus on.
- SMART (acronym) is a **tool to improve goal setting**
 - Specific: It must clearly state one concrete intent, e.g., pay for Education
 - Measurable: It must be quantified, e.g., Rs 75 lacs
 - Actionable: Actions can be taken to achieve the goal, e.g., investments possible
 - Realistic: Expectations need to be realistic, e.g., can't expect 100% ROI
 - Timebound: The goal has a time limit, e.g., in 2 years



Theory Q: What are General reserves meant for

- Are meant for **Special needs** such as
 - Marriage,
 - Divorce or remarriage,
 - Charitable giving,
 - Dealing with ongoing medical expenses for exceptional illnesses,
 - Providing support for adult dependents (e.g., elderly parents) or
 - Children with ongoing medical needs.
- **Such situations will require access to emergency funds** if not already planned for as part of regular goals
- This means, in addition to normal budgeting, the client wants to provide added funding to meet their special needs.



Theory Q: What are Specific reserves meant for

Emergency funds that are aimed at two uncertain risks, since they can be catastrophic

Loss of Income

- Complete loss of income e.g. Job loss for any reason
- Partial loss of income due to illness, disability or any other reason
- Can be planned for via creation of a fund

Loss of residential property

- Applicable to property owners
- Can be catastrophic
- Provisions to repair or replace the same is needed
- Usually insurance plus a emergency fund is needed

Theory Q: Ways to increase income

Here are a few possibilities for increasing income:

Ask for a raise at work or ask for more responsibility that might provide a higher salary.

If doing shift work, ask to work an additional shift.

Find a second job, possibly part-time, to supplement income.

Get a new job with a higher salary.

Shift investments from a growth focus to an income focus.

Income-producing investments include real estate, bonds and dividend-paying equities.

Complete an education program to qualify for a better paying job, or a higher salary from the current job.

Rent out a room in the home.

Start a new or part-time business (i.e., become an entrepreneur).

Theory Q: How to build Income generating portfolio

Two primary options exist for an income-generating portfolio – capital utilization and capital preservation (or conservation).

Capital Utilization Method

- Capital utilization uses existing capital in addition to earnings to generate income.
- The upside of capital utilization is that it requires less capital.
- The big downside is that available capital decreases, and can eventually be depleted.
- This of this as Mutual fund SWP where a portion of Principal + Interest both are withdrawn.

Capital Preservation Method

- Capital preservation uses no capital.
- The entire payment is the result of income / interest generated
- This is the application of our Perpetuity formula where the principal stays intact.
- Only the interest is withdrawn and utilized for emergency.
- This method would require higher capital since only the income is withdrawn.

Theory Q: Liquid products in India

Bank savings a/c

- 3.5 to 6%
- Payable quarterly

Bank Time / Fixed deposit

- 5-8%
- Special: Term 7 days – 10 yrs, Sr citizen rates, insurable up to 1L, Tax savings, early exit etc

Bank recurring deposit

- 5-8%
- Special: Term 6 months – 10 yrs, no upfront deposit, interest paid on reducing # of months

Corporate deposits

- 6%-9% (depends on Crisil/ICRA rating)
- 1 yr + term
- Offered by corporates, early exit like FD's

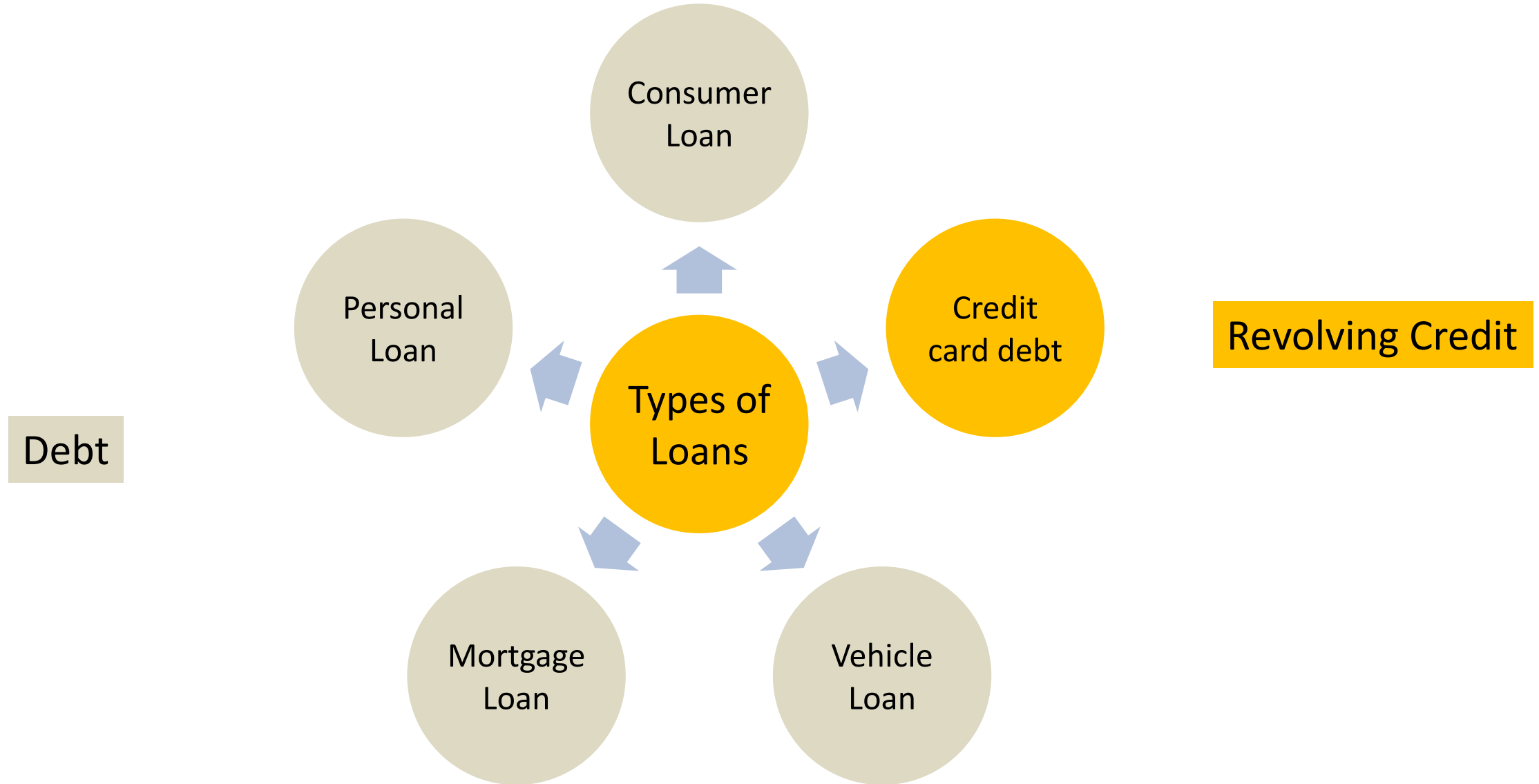
Post office deposits

- 5-8%
- Largest banking network in the country
- Offers similar features to savings / FD/Recurring

Some Mutual Funds

- Offer >5.5 % typically
1. Money market Funds
 2. Liquid Funds
 3. Ultra-short Funds
 4. Low duration Funds

Theory Q: Types of loans for an individual



Theory Q: Describe revolving Credit / Credit cards

- People generally use a credit card to rent a car, make online purchases, pay for a meal etc
- Selecting which card to get depends on a few factors
 1. **cost of credit** (i.e., interest rate) is a key selection factor.
 - Even a small interest-rate increase can make a significant difference in total interest cost. Obviously, one wants to get the lowest interest rate possible.
 - Often, financial professionals coach clients to pay off all balances each month. If this is not possible, clients should pay off the balance as quickly as possible.
 2. **Fees** some cards also have annual servicing fees
- Most cards have a high cost of credit
 - hence it is advised to not carry too much debt on them



Theory Q: Debt options in India

- In India, money can be borrowed in a
 - **secured** manner wherein the lender gives a loan against a security or collateral
 - **unsecured** manner wherein the lender gives out the loan without any collateral.
- The terms of any borrowing depending on the **lender** and the **borrower's credentials**
- Money can be borrowed from

1. Regulated lending
institutions

e.g. banks, NBFC's

2. Unregulated sources

e.g. money-lenders,
chit funds, from
employer etc

Theory Q: Regulated / structured lenders in India

Banks

- License from RBI
- **Universal banking**
(Public and Private sector banks)
- **Differentiated banking**
(Small banks, Co-op banks, Rural banks etc)

Financial Institutions

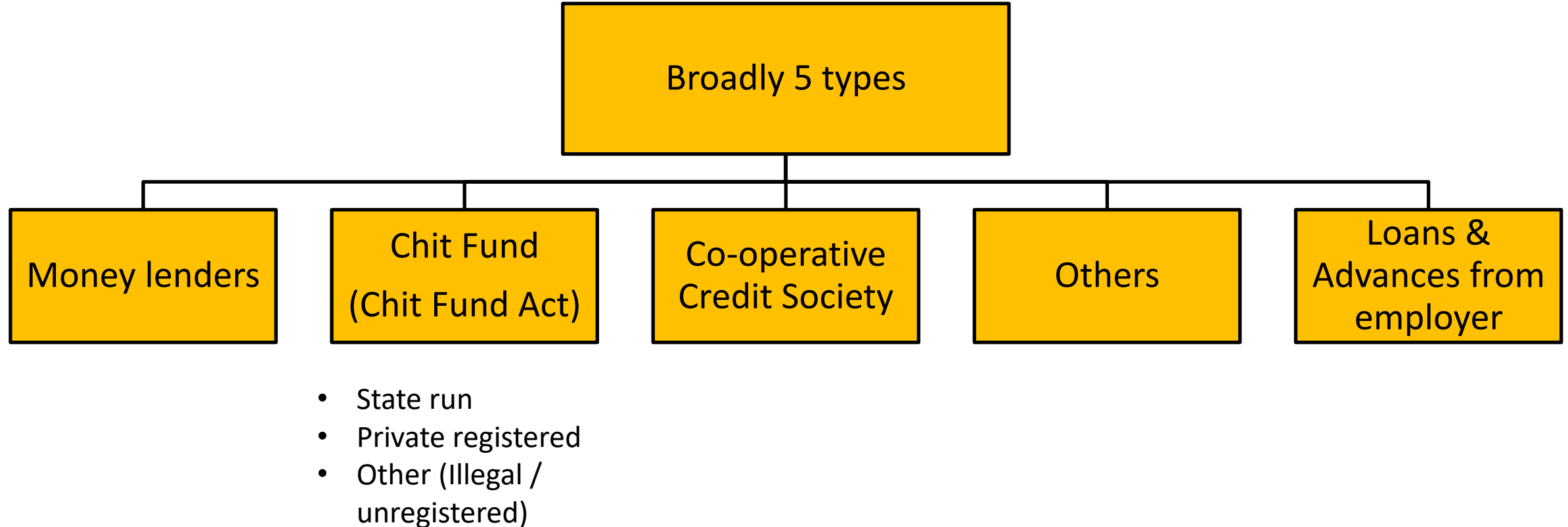
- **State Finance Corporations**
- Allowed by SFC Act, 1951
- 18 currently (HP, Rajasthan etc)

NBFC's

- Regulated by RBI
- E.g., Housing finance, Gold finance, Micro-finance

Theory Q: Unregulated lending in India

- Funds can be borrowed from un-institutionalized or unregulated sources.



Theory Q: Concepts relating to loans in India

Fixed rate
versus Variable
rate

MIBOR

MCLR

CIBIL score

Loan to Value
(LTV)

Gold
monetization
scheme

Reverse
mortgage

Refinancing

Restructuring

- **A hire purchase is a conditional loan**

- where the borrower agrees to **pay a part of the value** of the asset purchased on the first day itself and then **pays the rest of the value of the asset with interest gradually** over a period of time in instalments.
- the consumer gets to use the commodity and gradually **also becomes the owner over a period of time.**
- Banks, NBFCs, credit societies often co-finance these loans
 - In case the buyer fails to make the payment, the lender has a right to acquire the asset, sell it and recover his dues just like any other loan agreement.

- **Leasing is an alternative to buying**

- wherein the owner of the asset (lessor) permits another person (lessee) to use the asset, for recurring payments.
- Leases are of two types as follows
 - **Closed-end lease (i.e. Operating)** = Operate the asset for a period then return it to owner.
 - **Open-end Lease (i.e. Finance / Equity)** = Use the asset for a period and get ownership at end of tenure on payment of any difference in the sale price of the asset and the leased amount.

- Not all territories have bankruptcy laws. Where they exist, they generally allow for some methods to address severe debt situations.
1. **debt forgiveness:** After the bankruptcy petition is approved, debts are eliminated
 - Certain debts can never be forgiven, e.g., child support, college loans etc
 2. **debt liquidation:** Certain assets are liquidated, although some may be retained
 3. **Many creditors prefer debt restructuring to bankruptcy.**
 - Creditors agree to accept lower payments, by doing one of more of the following
 - by extending the repayment term,
 - forgiving part of the debt,
 - lowering interest rates..